THE HEILMAN PLAYBOOK

Heilman Auto Group

Ardmore · West Chester · Hatboro, Pennsylvania · Established 1986

PREPARED FOR	**Jack Heilman, Owner**
SUBJECT	**Margin recovery & shop-floor efficiency**
DATE	**June 2026**

Three core margin levers plus the moves that enable them, each modeled on conservative assumptions. Two require zero capital and can move this week. Every dollar figure is directional and should be re-run against live repair-order, payroll, and parts-invoice data before final commitment.

WHAT'S INSIDE

These projections use conservative baselines — 9 productive techs, a 50-week year, and current volume of ~600 ROs/month. The math holds up, but run it against exact payroll and parts-invoice data before pulling the trigger. Each lever stands alone; the Shop Supplies recovery is counted once and kept out of the Tekmetric figure, so nothing is double-counted.

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MARGIN RECOVERY BRIEF

Three independent levers, each modeled on conservative inputs. The numbers below are directional — every figure is adjustable in the live calculators and should be re-run against real RO, payroll, and parts-invoice data before final commitment.

1

Labor Rate Update

$139 → $170 / hr

+$446K
per year · +$37.2K/mo

- **Nearly all margin** — almost no added cost
- 14,400 billed hrs × $31 uplift
- Same wrenches, same bays
- Needs: online booking + proof of your real rate

2

Shop Supplies Fee

7% of labor · capped $40

+$54K
per year · +$4.5K/mo

- **No upfront cost — automated by the system**
- Recovers consumables automatically & seamlessly
- Recovers consumables without small line items
- Trust win + margin in one move

3

Tekmetric Shop System

~$1,500/mo (est.) · 3 locations

8.6 days
to pay for itself / month

- **$3.48 back on every $1**
- +$44.5K/yr net — labor recovery alone
- Bulletproof PA-compliant audit trail
- Idle-bay + collections = pure upside

COMBINED ANNUAL OPPORTUNITY — DIRECTIONAL, SEPARATE LEVERS, NO DOUBLE-COUNT **~$545K / yr**

EXECUTION SEQUENCE

1. **Pilot Tekmetric — start now.** Run it at a single shop first; it hardcodes the supplies fee and authorizations, so there's no manual error. Techs use their own phones, so there's no tablet to buy. Pays for itself by the 9th.
2. **Shop Supplies Fee — once the system's in.** Let Tekmetric auto-apply the 7% (capped $40) so it's exact and PA-compliant every time. Disclose on the estimate and with signage.
3. **Labor rate to $170 — once the new site and proof of your real rate are in hand.** The big lever. Roll it out alongside the video inspection — not the same month as the supplies fee — so customers see new value, not just a higher price.

NON-NEGOTIABLE: PA COMPLIANCE

ITEMIZE AND DOCUMENT.
Every estimate must be exact, itemized, and carry documented pre-authorization. A disputed estimate without signed authorization loses 100% of the time. The shop-supplies fee must appear as its own disclosed line. Tekmetric's timestamped digital authorization turns that compliance risk into a documented, protected record.

Conservative baselines; key inputs (proficiency, volume, system cost) are estimates — confirm against live data before committing. Levers don't double-count. · Heilman Auto Group

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THE REASON WHY
ONE JUSTIFICATION PER MOVE

These build on the reputation Jack and the team have spent nearly four decades earning. None of them change what works — they carry that hard-won trust forward into how the shops price, book, and protect their work. Each move, with the one reason it earns its place.

1 Raise the labor rate — $139 → $170/hr

Nearly all margin · +$446K/yr

A brand-new shop nearby just opened at $170/hr, and comparable Main Line and Chester County independents have already climbed past our current rate. We've held steady for years — but four decades of earned trust have more than justified the right to match the market. Moving to $170 adds **almost no cost** — no extra parts, labor, or bay time — so nearly all of it drops to the bottom line.

BOTTOM LINE
This isn't reaching — it's catching up to a market that's already moved past us.

2 Roll fluids into a Shop Supplies Fee — 7% of labor, capped $40

No upfront cost · +$54K/yr · automated by the system

Itemizing small consumables like washer fluid or a half-quart of oil recovers pennies, but it can rub a loyal customer the wrong way. Rolling them into a single **capped shop-supplies fee** recovers the same cost quietly across the ticket — and frees the team to keep giving away the small stuff that builds goodwill, the goodwill that brings the $1,500 jobs back.

BOTTOM LINE
A small structural fee protects the margin and the relationship at the same time.

3 Add a shop-management system across all 3 shops

~$1,500/mo (est.) · pays for itself by the 9th · $3.48 back per $1

The shops have run on paper and built a loyal following doing it — but across three locations, paper makes it easy to lose the last 0.2 hours of diag or cleanup, and it can't timestamp a digital authorization. A system like Tekmetric captures that work automatically, ends the phone-vs-online double-bookings that leave bays idle, and turns every authorization into a clean, PA-compliant record. The recovered time alone covers the cost in the **first week and a half of each month**.

BOTTOM LINE
Paper got the shops this far. A system is what lets them grow without losing the details.

4 End free diagnostics — every diagnosis starts at one hour ($170)

$100 → $170 · higher close rate on the repair that follows

No more free code scans or "we'll take a quick look." Every diagnosis now starts at one full hour of labor — $170 — because it uses the most expensive tools and the most skilled hands in the building, and that hour matches the fee to the skill it takes to trace a CAN-bus fault or EVAP leak. Pairing it with a **video multi-point inspection — built right into Tekmetric's DVI** — makes that fee easy to understand: the tech records the fault on their own phone and sends it straight to the customer, and when they see the problem on screen, they approve the repair with confidence.

BOTTOM LINE
No free scans. Charge for the expertise — and let the video prove it's worth every penny.

5 Modernize online booking — the redesign's already built

Mockup done · connect to the shop system next

The current website has served the shops well, but it leaves money on the table — it can't take a PA-compliant digital authorization or deliver the video inspection that lifts the average repair order. The new version keeps the original 1986 logo and branding, and lets a customer **book in two taps**, feeding straight into the shop system so there's no more phone tag. (Already mocked up and ready to show, with the real shop photos and customer reviews front and center.)

BOTTOM LINE
The redesign is built on the brand you've always had. Connect it to the shop system and it goes live.

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ROLLING IT OUT RIGHT
LOW-RISK · CUSTOMER-FIRST

A good plan dies on the shop floor if it's rushed. These four moves protect the regulars, the crew, and the front desk — so the numbers in this playbook actually show up in the bank.

1 Start with one shop — prove it, then expand

30-day pilot · then roll to the other two

Don't flip all three locations at once. Run the new shop system and pricing at **one shop first**, iron out the kinks, and show the revenue lift over 30 days. Then take that real, in-house proof to the other two — the older techs and writers adjust on a small stage, not all at once, and you've got numbers instead of a promise.

BOTTOM LINE
One shop, 30 days, real proof — then scale what already worked.

2 Protect the loyalists — a 90-day grandfather

New rate for new customers now · regulars eased in

The $170 rate applies to **new customers immediately**. For the 20- and 30-year regulars, the writer can say: *"Our rate moved to $170, but Jack wanted to honor your old rate for today's service."* It makes Jack the hero, moves the customer mentally to the new number, and gets the shop to $170 over 90 days without burning a single bridge.

BOTTOM LINE
Loyal customers feel taken care of, not cashed in on.

3 Arm the front desk — or they'll discount it away

One confident sentence per new charge

A service writer who can't explain a fee will give it away to avoid conflict — and there go the margins. Give them simple, confident lines:

Supplies fee: *"That's our shop-supplies & disposal charge — it covers fluids, rags, and cleanup so we're not nickel-and-diming you on every little item."*

Diagnostic (no free scans): *"Our diagnostic starts at one hour — that's a master tech tracing the exact cause, not a parts-guess — and you'll get a video showing the problem before you approve any repair."*

BOTTOM LINE
Train the words, or the margin walks out the front door.

4 Sequence the changes — never all at once

Fee + system first · rate later, with the video

Roll the supplies fee and the shop system in first — they're quiet and customers barely notice. Bring the **rate increase later**, launched alongside the video inspection, so customers see obvious new value, not just a higher price. Never the new rate and the new fee in the same month — that's the one combination that triggers sticker shock.

BOTTOM LINE
Stagger it so every price change arrives with visible new value.

Effective Labor Rate — Revenue Recovery

What an hour at $170 instead of $139 brings back.

INPUTS

PRODUCTIVE TECHS	BILLED HRS / TECH / WEEK	WORKING WEEKS / YEAR
9	32	50

CURRENT RATE	PROPOSED RATE	ANNUAL BILLED HOURS
$139	$170	14,400

REVENUE RECOVERY — SAME WRENCHES, SAME BAYS

ADDED / MONTH	ADDED / YEAR	ADDED MARGIN
$37,200	$446,400	~95%

Current revenue @ $139 (14,400 hrs)	$2,001,600
Proposed revenue @ $170	$2,448,000
Recovered gross margin / year	**+ $446,400**

BOTTOM LINE

The rate increase carries almost no added cost — no extra parts, labor, or bay time. It's the highest-margin lever on the board.

The added revenue is simply your billed hours × the $31 rate increase. Calculated exactly to the penny; replace inputs with live shop data before commitment.

Tekmetric ROI — Days to Payback

Conservative, labor-recovery only. Consumables counted once in the Shop Supplies model, so nothing is double-counted.

INPUTS

COST / LOCATION / MONTH	LOCATIONS	SYSTEM COST / MONTH (EST.)
$500	3	$1,500
PRODUCTIVE TECHS	**LOST HRS / TECH / WEEK**	**LABOR RATE · WEEKS**
9	1.0	$139 · 50

IT PAYS FOR ITSELF IN THE FIRST WEEK AND A HALF OF EVERY MONTH

DAYS TO PAYBACK	RETURN / $1 SPENT	BREAK-EVEN
8.6	$3.48	10.8 hrs/mo

Recovered unbilled labor / year	+ $62,550
Tekmetric system cost / year	– $18,000
Net annual gain	**+ $44,550**

BOTTOM LINE

Paper got the shops this far — a system captures the work paper can't, and pays for itself by the 9th. Not counted here, all upside: idle-bay recovery, faster collections, and the PA-compliant audit trail.

Based on recovering just 1.0 lost hour per tech per week — on paper it's easy to miss the last 0.2 hours of diag or cleanup. Capturing that time alone covers the system's monthly cost by the 9th of every month; everything else — idle-bay recovery and faster collections — is pure upside.

Shop Supplies Fee — Margin & Goodwill

Recover consumables automatically while giving away the $3 top-offs.

INPUTS

REPAIR ORDERS / MONTH **600**	AVG LABOR / RO **$278**	CONSUMABLES / RO **$12**
FEE — % OF LABOR **7.0%**	HARD CAP / RO **$40**	BREAK-EVEN FEE % **4.3%**

NET MARGIN AFTER RECOVERING CONSUMABLES COST

NET / REPAIR ORDER	NET / MONTH	NET / YEAR
$7.46	**$4,476**	**$53,712**

Fee charged / RO (7% of $278, under cap)	$19.46
Consumables cost recovered / RO	– $12.00
Net margin / RO	**+ $7.46**

BOTTOM LINE

A small structural fee protects the margin and the relationship at the same time. No capital — the system applies it automatically.